

85. **Trustees lending should not employ the same solicitor as the borrower.**—In laying out trust monies, trustees would do well not to employ the solicitor who acts for the borrower. Besides the inconveniences that arise from the doctrine of implied notice, there is in this case such a conflict of duties on the part of the solicitor, that he cannot adequately represent the interests of both lender and borrower (*f*).

*SECTION V.

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LIABILITY OF TRUSTEES TO PAYMENT OF INTEREST.

1. **General laches.**—It may be stated as a general rule, that if a trustee be guilty of any unreasonable delay in investing the fund or transferring it to the hand destined to receive it, he will be answerable to the *cestui que trust* for interest during the period of his *laches*; and a trustee has been decreed to pay interest even where it was not prayed by the bill (*a*); and in a suit establishing *laches*, will be decreed to pay personally the costs up to the hearing of a suit arising out of the *laches* (*b*).¹

(*f*) See *Waring v. Waring*, 3 Ir. Ch. Rep. 331.

(*a*) *Woodhead v. Marriott*, C. P. Coop. Cases, 1837–38, 62; *Turner v. Turner*, 1 J. & W. 39; *Stafford v. Fiddon*, 23 Beav. 286; *Hollingsworth v. Shakeshaft*, 14 Beav. 492; *Chugg*

v. Chugg, W. N. 1874, p. 185. But the court is not in the habit of giving interest on what may be found due for arrears of income, *Blogg v. Johnson*, 2 L. R. Ch. App. 225.

(*b*) *Ticknor v. Smith*, 3 Sm. & G. 42.

¹ *Interest.*—An executor is not usually chargeable with interest for the first year: beyond that interest will be required, and the principal too, if lost; *Minuse v. Cox*, 5 Johns. Ch. 441; *Carter v. Cutting*, 5 Munf. 224; if the executor receives interest during the first year he must account for it; *Wyman v. Hubbard*, 13 Mass. 232; *Stearns v. Brown*, 1 Pick. 530; *Lund v. Lund*, 41 N. H. 359; *Chambers v. Kerns*, 6 Jones Eq. 280.

If a trustee neglects to invest trust funds, uses them as his own, or fails to distribute them within a reasonable time, he will be liable for the legal rate of simple interest; *Wistar's App.* 54 Pa. St. 60; *Duffy v. Duncan*, 35 N. Y. 187; *Mumford v. Murray*, 6 Johns. Ch. 1; *Hess's Est.* 69 Pa. St. 272; *Owen v. Peebles*, 42 Ala. 338; *Kerr v. Laird*, 27 Miss. 544; *Nelson v. Bank*, 27 Md. 53; *Wright v. Wright*, 2 McCord Ch. 185; *Knowlton v. Bradley*, 17 N. H. 458. The trustees can make no gain from the trust funds, and if they receive a high rate of interest they must account for it all; *Martin v. Raborn*, 42 Ala. 648; *Barney v. Saunders*, 16 How. 543; if the trustee has not kept a clear account he will be chargeable with the legal rate; *Rapalje v. Hall*, 1 Sandf. Ch. 339;